"And the first one now will later be last, For the times they are a-changin" – Bob Dylan

MYDA Advantage, LP ("MYDA" or the "Fund") returned +2.50% in Q2 of 2024, compared to +3.93% for the S&P 500. Q2 started off with some downside volatility. Inflation data came in hotter than expected and employment numbers remained strong, causing treasury yields to move higher and pressure equities. The S&P 500 was -4.1% for April, breaking a streak of 5 consecutive positive months. The markets rebounded for the remainder of Q2 buoyed by softer inflation and employment data and the continued outperformance of mega-cap technology/AI-related companies. 90% of the S&P 500's Q2 performance came from just NVIDIA Corporation (NVDA), Apple, Inc. (AAPL) and Microsoft Corporation (MSFT). The top 10 stocks in the S&P accounted for over 35% of the index's weight, but just under 25% of its earnings. This level of concentration in a handful of stocks at relatively high valuations was last seen just prior to the bursting of the dot-com bubble.

On July 11, the June CPI data was released showing moderating inflation and signaling to the market that the Fed will start cutting rates by September. This prompted a strong rally in small-cap stocks and a concurrent selloff in mega-cap/technology stocks fueled by the supposition that imminently lower rates will disproportionately benefit otherwise capital constrained small-cap companies. The iShares Russell 2000 ETF (IWM) was +3.59%, while the Invesco QQQ Trust (QQQ) was -2.19%. This 5.79% spread in favor of small-cap stocks has only been topped twice and has historically led to continued IWM outperformance over the next 12 months. It is too early to say if we are at the end of any AI/technology- inspired bubble market, but there is little doubt that July 11th changed the character of the market. Therefore, while we have certainly participated in the AI rally, we will now be more conservative in our stock selection and focus on the many non-AI related companies that have good prospects and trade at attractive valuations.

Our top winner for Q2 was the Fund's long position in Core Scientific, Inc. (CORZ). CORZ specializes in blockchain and AI infrastructure, digital asset self-mining, managed hosting, and technology support services. Its mission is to accelerate digital innovation by scaling high-value compute rapidly, efficiently, and responsibly. CORZ was one of the largest Bitcoin miners, but was forced into bankruptcy in late December 2022, due to then slumping Bitcoin prices and its high debt load. We started following CORZ during the Chapter 11 process and understood that upon its emergence it would be valued at a deep discount to other publicly traded miners such as Marathon Digital Holdings, Inc. (MARA) and Riot Platforms, Inc. (RIOT). It would also greatly benefit from the massive appreciation in Bitcoin which was approximately $16,800 at the time of its bankruptcy filing. CORZ's management presciently understood the benefits of owning and controlling their own data center infrastructure, including the ability to expand mining capacity and deploy upgrades to its proprietary mining technology stack. The company's data centers, which as of early Q2, represent over 500 megawatts of operational bitcoin mining infrastructure, are also qualified to host alternative forms of compute. This flexibility is due to the design of their facilities, their proximity to major metropolitan areas, and access to high bandwidth telecommunications infrastructure. In early June, CORZ signed a series of 12-year contracts with CoreWeave, an AI hyperscaler, to deliver approximately 200 megawatts ("MW") of infrastructure to host CoreWeave's high-performance compute ("HPC") operations. CORZ will modify multiple existing, owned sites to host CoreWeave's NVDA GPUs. The site modifications are expected to commence early in the second half of 2024 and achieve operational status in the first half of 2025. The project is estimated to generate total cumulative revenue for CORZ of over $3.5 billion during the initial 12-year terms of the contracts. At the same time, CoreWeave also made an unsolicited offer to purchase CORZ for $5.75, which CORZ's board reviewed and rejected for having significantly undervalued the company.

**Performance numbers are net of all fees (2/20%). Net returns may vary for each investor depending upon the timing and cost basis of their initial investment.*

The market is just beginning to understand CORZ's value proposition. It is not just a Bitcoin miner. It is also an AI infrastructure play and is in a premier position to take advantage of monetizing its data centers to capitalize on the rising demand for AI. The stock was up over 2.5x for the quarter and the higher stock price allowed CORZ to mandatorily convert $260mm of its outstanding convertible debt into equity, strengthening its balance sheet and providing greater financial flexibility to the company as it continues its expansion. We continue to like our long CORZ position.

NVDA was once again in the top 2 winners for the quarter. We only mention it again as we have exited our core long position in NVDA and have even been short it at times in July. NVDA accounts for just under 1/3 of the S&P 500s 1H 2024 gains. It went from $2T to $3T in 96 calendar days even as MSFT and APPL took 649 days and 718 days respectively to accomplish the same. For a brief time in June, NVDA became the largest US stock by market cap. As of this writing it stands at #3. Its run has been historic, unprecedented and well-deserved. NVDA is a great company and the Fund has done well owning it these past several quarters, but it has become a crowded/consensus long and we would prefer to revisit it again at lower prices.

As we head into Q3 and the remainder of 2024 we believe the quote above is quite apropos and we welcome a continuation of the recent outperformance of value versus technology stocks. This type of market action would fit directly into the Fund's strategic "sweet spot" as we would expect outperformance from both our long and short books. Our longer-term strategy is adept at picking under-the-radar value stocks that tend to perform well in this type of environment while our active trading allows us to opportunistically short overvalued and over-owned large technology companies that finally seem vulnerable to a correction. We welcome the day when the "Magnificent 7" will once again refer appropriately and exclusively to the classic 1960's western film directed by John Sturges. We hope everyone is having a great Summer and feel free to contact us with questions.

- MYDA ADVISORS

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